

Exide Industries Limited (NSE: EXIDEIND / BSE: 500086) — Institutional Deep-Dive Primer

TL;DR

- **Exide is India's #1 lead-acid battery maker (roughly half the organized market, ~2x Amara Raja's revenue) throwing off strong cash from a mature core, now betting Rs 60bn on a lithium-ion cell gigafactory that is unproven, loss-making at start-up, and the single biggest swing factor for the stock.** FY26 standalone revenue was Rs 17,268.92cr / Rs 172,689mn (+4.1% YoY) with an 11.3% EBITDA margin (EBITDA Rs 1,893cr) and PAT of Rs 1,111.33cr (EPS Rs 13.07); consolidated revenue Rs ~180.0bn, PAT Rs ~8.6bn.
- **The investment case is a barbell:** a cash-generative, essentially zero-debt, ~7.9-8.8% RoCE lead-acid franchise + optionality on Li-ion + a ~Rs 63bn HDFC Life stake (~Rs 43-52/share of SOTP). The debate is whether Li-ion creates or destroys value, since it is diluting RoCE from ~13.6% (FY15) to ~7.9-8.8% (FY26) via heavy capex ahead of revenue.
- **Street is broadly Neutral/ADD** — Avendus Spark ADD, TP Rs 365; Motilal Oswal Neutral, TP Rs 327-341; Nomura Neutral Rs 404; 16-analyst consensus ~Rs 384 ("Hold"). The stock trades ~26-28x forward EPS, roughly in line with its long-run ~18.6x 12-month-forward average once embedded Li-ion/HDFC Life value is added. Own it for the transition optionality, not the core growth rate.

Key Findings

- **Core is steady, not fast.** 5-year revenue CAGR ~11-12%; management guides high-single/low-double-digit core growth and targets crossing Rs 20,000cr in core (lead-acid) revenue by FY28. In 4QFY26, nearly 92% of the business (excluding telecom and exports) grew double digits — led by Auto OEM +25% YoY (highest-ever quarterly, 2nd consecutive quarter), 2W/4W replacement mid-teens, industrial infra ex-telecom double-digit — while ~8% (exports + telecom + e-rickshaw) fell, muting headline growth to +9.4%.
- **Margin gap vs Amara Raja is structural and persistent.** Amara Raja consistently runs ~1-3ppt higher gross margin (and historically 3-4ppt higher EBITDA margin — e.g., 14.8% Exide vs 18.2% ARE&M in a prior comparison quarter) owing to a richer

aftermarket/industrial mix and tighter cost discipline; Exide's larger, formula-priced OEM exposure is the main reason.

- **Vertical integration in lead is a genuine moat.** Exide met ~75% of its lead/lead-alloy needs with recycled lead in FY25 via wholly-owned Chloride Metals (Haldia 108k MTPA + Supa-Parner 96k→120k MTPA + Karnataka/Pune units), reclaiming >99% of battery components, vs Amara Raja's ~25-30% target from its new Tamil Nadu plant. Battery Waste Management Rules 2022 (mandatory recycled content rising to 20% by FY31) structurally favour Exide.
- **Raw-material whipsaw is the key near-term margin risk.** Lead/acid/plastics = ~95-96% of the bill of materials; lead alone is ~60-70% of RM cost (but only ~one-third of total COGS). In FY26 sulfur spiked ~5x (Rs 15→74-75/kg, a ~Rs 150cr hit), antimony surged from ~USD 12-14k to a cycle peak ~USD 59,750/t (China export controls) before easing toward ~USD 23-33k, and the rupee fell ~10%, offsetting a softer LME lead price. Exide took ~8% cumulative price hikes Jan-Apr 2026; 4QFY26 standalone gross margin was 30.1% (down ~90-150bps QoQ, source-dependent).
- **Li-ion is the swing factor.** EESL's 6 GWh Phase-1 (scalable to 12 GWh) in Bengaluru, using SVOLT (China) licensed technology, has consumed cumulative equity of Rs 4,802.23cr (Rs 600cr in Q4FY26, Rs 1,500cr in FY26); first customer samples (cylindrical NMC for 2W) due Q1FY27, meaningful revenue from Q3FY27. Brokers model losses through FY27-28 before a slow climb.
- **HDFC Life stake is a hidden ~Rs 63bn asset.** Exide holds ~4.1% of HDFC Life (8,70,22,222 shares received in the 2022 Rs 6,687cr Exide Life sale) — a meaningful chunk of the SOTP not reflected in operating multiples.

Details

1. Company Overview & History

Exide is a 79-year-old franchise with a colonial lineage and two ownership eras. The business traces to the UK's Chloride Electrical Storage Company (CESCO), which imported "Exide" and "Dagenite" batteries into India from the 1920s. The Indian company was incorporated on **31 January 1947 as Associated Battery Makers (Eastern) Limited (ABMEL)**, taking over CESCO's Indian operations; the first plant was set up at **Shamnagar (Shyamnagar), West Bengal, in 1947**.  It was renamed **Chloride India Limited**, then **Chloride Industries Limited (12 Oct 1988)**, and finally **Exide Industries Limited (25 August 1995)**. The UK Chloride Group divested its Indian holding in 1991-94, and the **Rajan Raheja Group** became the promoter.

Key milestones: Chinchwad plant (1969, for the auto boom); dedicated R&D facility (1976);

Haldia plant (1981); Exide supplies the first indigenous OE battery in the Maruti 800; technical tie-up with Shin-Kobe/Hitachi (1994); Hosur plant (1997); acquisition of Standard Batteries' units at Taloja, Kanjurmarg, Guindy and Ahmednagar (1998); acquisitions abroad — Chloride Batteries S E Asia (Singapore, 2000), 49% (later 100%) in Associated Battery Manufacturers Ceylon (Sri Lanka), Espex Batteries (Cardiff UK, 2003); Bawal plant (2003); entry into lead smelting via acquisitions near Bangalore (2007) and Pune (2008) plus greenfield Haldia. Exide Life Insurance was sold to HDFC Life in 2022 (Rs 6,687cr). EESL was incorporated 24 March 2022 for Li-ion, with the SVOLT technology-licence agreement signed the same year. Technical lead-acid tie-ups include Shin-Kobe (Hitachi), Furukawa and East Penn.

Current management & board (mid-2026):

Role	Name
Chairman & Independent Director	Sridhar Gorthi (since 30 Apr 2025) MatrixBCG
Vice-Chairman, Non-Exec Non-Independent	Rajan B. Raheja (promoter)
MD & CEO	Avik Kumar Roy (since 1 May 2024; simplywall 3-yr term to 30 Apr 2027)
Director-Finance & CFO	Manoj Kumar Agarwal MatrixBCG
Executive Director & Director-Operations	Pravin Saraf simplywall
Director-Trade & Executive Director	Rajeev Ramesh Khandelwal simplywall
Independent Directors	Surin Shailesh Kapadia, Radhika Govind Rajan, Jaidit Singh Brar

Avik Roy is an electrical engineer (Jadavpur University) with an EMBA (AIM Manila); he joined Exide in Jan 2019 as President-Industrial Exide (from Chloride Batteries; previously Siemens and Crompton Greaves) and led the industrial + submarine businesses before elevation. In May 2026 the company appointed **Amol Mehra as President & Chief Procurement Officer** — notable given the RM-cost focus.

Shareholding (Mar-2026): Promoters 45.99% screener (led by Chloride Eastern Limited; MatrixBCG pledge 0.0%), FIIs 10.30%, DIIs 19.12%, Public ~24.6%. Shares outstanding ~850mn; market cap ~Rs 299-323bn. Promoter holding has been rock-steady at 45.99%

for a decade. FII holding has drifted down (13.57% Mar-24 → 10.30% Mar-26), offset by rising DII (17.15% → 19.12%).

2. Product Portfolio — Exhaustive

Exide offers the widest range in India, 2.5Ah to 20,200Ah. Lead-acid technologies span flooded/conventional, maintenance-free (MF), VRLA (AGM and gel), EFB, AGM start-stop, tubular, and deep-cycle; grid technologies include gravity-cast, expanded metal and **punched grid** (the newest, being rolled across the 2W line). Alloy chemistry differs by product: lead-antimony (Pb-Sb) positives for tubular/industrial (higher antimony content for deep-cycle durability) and lead-calcium (Pb-Ca) for maintenance-free automotive negatives.

Brand architecture:

Brand	Segment / positioning
Exide	Master brand — automotive, inverter, industrial, submarine
SF Sonic	Value-to-mid automotive & industrial/solar; separate dealer network
Dynex	Fast-growing value auto brand (tech tie-up Furukawa); 2W/3W/4W/CV/e-rickshaw/inverter
CEIL, Index	Export brands (Index sold in ~46 countries)
Chloride	Industrial/standby export
InvaTubular / InvaMaster / InvaRed / InvaHomz	Home inverter/UPS tubular batteries
Solar (Shakti/Smart/Blitz)	Solar tubular gel / OPzV batteries
Powersafe / Chloride Safepower / Prime	VRLA industrial, telecom, UPS, data-centre
Riide, Little Champ, Xpress, Matrix, Mileage, Eeznuff, Xplore	Various auto/2W/e-rickshaw & inverter sub-lines
Exide Care / Exide Next	Retail service network (1,681 exclusive outlets), BatMobile doorstep service

Application segments: automotive SLI (2W/3W/4W/CV/tractor), e-rickshaw, home

UPS/inverter batteries + inverters (two dedicated inverter plants), solar (tubular gel, OPzV), traction/motive-power (forklifts, material handling), submarine (defence), railways, telecom/VRLA, UPS/data-centre, genset. **Li-ion** (via EESL): NMC cylindrical (2W), LFP prismatic (4W, buses, telecom, BESS), plus modules, packs and BMS. Non-battery: home UPS inverters and (historically) the insurance business, now divested.

3. Segments & Revenue Split

The company reports a single “storage batteries and allied products” segment under IND-AS 108, so the split below is triangulated from investor presentations and disclosures, not audited segment accounts.

Split (standalone, approx.)	Share
Automotive	~70-73%
Industrial	~26%
Submarine/others	~1%
Institutional/B2B (incl. OEM)	~30%
Non-institutional (B2C aftermarket)	~70%
Domestic	~92-95%
Exports	~5-8%

Within industrial, the key verticals are **infra/power, telecom, UPS, solar, traction, submarine, railways**. Disclosed FY26 datapoints: **UPS ~Rs 2,300cr, Solar crossed Rs 1,000cr, Telecom collapsed to ~1-3% of revenue** (down ~50% YoY in 4Q as operators shift to Li-ion). The **aftermarket (~two-thirds of sales) carries higher margins than OEM** (OEM lead is formula-based pass-through, thin margin; aftermarket is discretionary-priced). Replacement cycles: **2W ~30-36 months, 4W ~40-48 months** — a large, recurring, brand-driven annuity. Organized players (Exide + Amara Raja) dominate auto OEM and increasingly aftermarket; the unorganized segment persists mainly in inverter/e-rickshaw. In 4QFY26 domestic growth ex-telecom was ~10-12.5%.

4. Customers by Segment

Exact customer-wise revenue is not disclosed; the below is triangulated from company statements, industry press and the related-party/customer-concentration notes, which do not flag a single customer >10%.

- **Auto OEM:** Maruti Suzuki (Exide supplied the first indigenous OE battery in the Maruti 800), Hyundai, Kia, Tata Motors, Mahindra, Toyota Kirloskar, Honda Cars, Ashok Leyland; 2W — Hero MotoCorp, Bajaj, TVS, Royal Enfield, HMSI, Suzuki; new-age — Ola Electric, Ather (12V/Li-ion). Amara Raja and Exide effectively split the domestic OE market; wallet share varies by OEM and is not publicly quantified.
- **Industrial:** telecom — Reliance Jio, Bharti Airtel, Indus Towers, Vodafone Idea, BSNL (structurally declining); power/UPS/data-centre OEMs — Emerson, Ericsson, Hitachi, GE, Mitsubishi, Godrej, Finolex, BHEL, NTPC, Tata; **Indian Railways; Indian Navy** (see below).
- **Defence/Submarine:** **Exide is the sole indigenous supplier of main storage batteries to the Indian Navy's conventional submarine fleet, meeting 100% of demand** ("we are the country's only company to maintain a dedicated infrastructure"). It supplies Scorpene/Kalvari-class boats from the 4th vessel (INS Vela) onward — replacing Germany's Hagen Batteries — with ~360 cells per submarine (per PIB on INS Kalvari), and is qualified for Russian (Kilo/636/Amur), German (209) and indigenous designs. It is in Li-ion certification for future (Project-75I / Scorpene Evolved) boats.
- **Li-ion:** non-binding MoU with **Hyundai Motor + Kia** for locally-made LFP cells (a separate, incremental co-investment over the base 6 GWh); advanced talks with two 2W OEMs (cylindrical NMC) and three-wheeler makers (LFP); telecom packs, BESS.

5. Distribution Network

Exide's channel is its widest moat. It runs 150+ warehouses/sales offices, ~55,000 direct & indirect dealers (some sources cite ~95,000 incl. sub-dealers), and **1,681 exclusive Exide Care outlets** Exideindustries plus "Exide Next" experience centres and the BatMobile doorstep service. The aftermarket works through a dealer-distributor pyramid with **scrap battery buyback / core exchange** ("old-battery-return," OBR) — critical because scrap feeds Chloride Metals' recycling loop and locks in customers. This exceeds Amara Raja's (Amaron) reach and is the reason Exide dominates replacement.

6. Exports

Exports are ~5-8% of standalone revenue (down from ~8% to ~5% in FY26) and were the biggest FY26 drag, falling double-digit on the West Asia conflict and shipping disruption. Exide serves 60+ (some sources 70+) countries via brands Index, Dynex, Chloride, SF Sonic and CEIL across the Middle East, Africa (South Africa, Uganda, Yemen), SAARC (Nepal, Bangladesh, Sri Lanka), ASEAN, Europe and Latin America. Overseas subsidiaries: **Chloride International (India), Chloride Batteries S E Asia (Singapore), Espex Batteries (UK), Associated Battery Manufacturers Ceylon (Sri Lanka)**. Product mix skews automotive, traction and UPS. Management flagged potential export recovery of

~Rs 500cr on US/EU trade deals and expects exports to normalise as geopolitics eases.

7. Raw Materials (priority section)

Lead, acid and plastics together are ~95-96% of the bill of materials (company-disclosed on the Q4FY26 call); lead alone is ~60-70% of RM cost — but only ~one-third of total COGS once conversion/labour/overhead are included. Do not conflate the two.

Component	Approx. cost weight	Notes
Lead & lead alloys	~60-70% of RM	LME-linked; Pb-Sb vs Pb-Ca alloys
Sulfuric acid + sulfur	small but volatile	Sulfur spiked ~5x in FY26 (Rs 15→74-75/kg)
Polypropylene (PP) containers/covers	mid-single-digit	Crude-linked; hit in 4QFY26 on crude shortage
Separators (PE/PVC/AGM glass mat)	low-single-digit	
Antimony, tin, calcium, selenium, silver (grid alloys)	small	Antimony critical for tubular; China-dominated
Copper terminals, expanders (BaSO ₄ , carbon black, lignosulfonate), fibreglass	small	

Lead sourcing: LME lead ~USD 1,875-2,090/t through 2025-26 (softer YoY, ~Rs 164/kg landed; spiked to ~Rs 1,950/kg equivalent in April on the rupee). India's only primary producer is **Hindustan Zinc (~185k TPA)**; >70% of India's lead is secondary (recycled).

Exide's key structural edge: it met ~75% of lead via recycled lead in FY25 through wholly-owned Chloride Metals (Haldia 108k MTPA; Supa-Parner, Ahmednagar 96k→120k MTPA; plus Karnataka/Malur and Pune/Markal units), reclaiming >99% of battery components. Amara Raja's comparable recycled-lead target is only ~25-30%. (No single company-disclosed total combined recycling capacity exists; disclosed plant capacities imply 200k+ MTPA.)

Antimony: China (~48% of 2023 mine supply, higher of refining) added antimony to its export-control list (dual-use licences effective 15 Sep 2024) and banned US shipments (Dec 2024); prices rocketed from ~USD 1,400/t in mid-2024 to ~USD 38,000/t by Sep-2024

and a cycle peak ~USD 59,750/t (European) in July 2025, later easing to ~USD 23,000/t (European) / ~USD 15,940/t (China domestic) by mid-2026. Antimony has no LME contract, so pricing is opaque. Silver +50%, tin +12%, copper +13% and sulfur +40% QoQ were all cited in 4QFY26.

Pass-through mechanics: OEM lead is formula-based automatic pass-through; non-lead OEM inputs are negotiated with ~1-quarter lag; aftermarket is discretionary hikes; industrial is contract-based. Exide took hikes on Jan 1, Mar 1, Mar 20 (~5-6% cumulative) and ~3% on Apr 1 (~8% cumulative Jan-Apr 2026). A ~10% lead move — largely passed through in OEM but with a lag in aftermarket — is the main quarter-to-quarter gross-margin swing.

Li-ion inputs: cathode (NMC, LFP), anode (graphite), separator, electrolyte, lithium carbonate/hydroxide, cobalt, nickel — heavily China-dependent; SVOLT supplies technology/know-how. China VAT changes add ~3% now and ~6% by Jan-27 to imported cells, improving the case for local manufacture; the ACC-PLI scheme (which Exide did NOT win) is largely undelivered (only ~2.8%/1.4 GWh of the 50 GWh target commissioned by Oct-25, all by Ola).

8. Manufacturing Footprint

Ten factories across five states (eight lead-acid batteries, two home-UPS inverters), plus the EESL Li-ion gigafactory:

Location	State	Notes
Shamnagar	West Bengal	First plant (1947)
Haldia	West Bengal	Large plant + lead recycling (108k MTPA)
Chinchwad	Maharashtra	Auto (1969)
Taloja	Maharashtra	Ex-Standard Batteries
Ahmednagar	Maharashtra	Motorcycle (MC) batteries
Hosur	Tamil Nadu	Auto (1997)
Bawal	Haryana	2W / OEM JIT (2003)
Roorkee & Haridwar	Uttarakhand	Batteries + inverters
Prantij	Gujarat	Li-ion modules/packs (EESL operating)
Bengaluru/Haralur	Karnataka	EESL 6→12 GWh cell gigafactory (commissioning)

Aggregate capacity is often cited at ~57mn automotive units + ~5bn Ah of industrial power. Lead-acid capex guidance is ~Rs 5bn/year (50% of 2W capacity converted to punched grid, targeting 100% by Nov-25; continuous casting line commissioned).

9. Competitive Landscape

Exide (roughly half the organized market) leads Amara Raja (~35%) — together the two hold ~60-70% of the Indian lead-acid market and the top five hold >80%.

Luminous/Livguard, Okaya and Base Corp are strong in inverter/home-UPS. Exide is #1 in auto replacement and OEM; Amara Raja is a strong #2 with historically superior profitability.

Metric (FY26, consol.)	Exide	Amara Raja
Revenue	~Rs 180bn	~Rs 137bn (est.)
EBITDA margin	~10-11%	~14-16% (higher)
Gross margin	consistently ~1-3ppt below ARE&M	higher
RoCE	~7.9-8.8%	higher
Lead recycling self-sufficiency	~75%	~25-30% target

Why Amara Raja's margins are higher: richer aftermarket/industrial mix, historically leaner cost base and lower OEM drag. Exide's counter is scale, distribution and recycling integration. **Li-ion competition:** Amara Raja-Gotion (16 GWh, Telangana), Agratas/Tata (20 GWh, Gujarat, AESC tech), Reliance (30 GWh, Jamnagar), Ola (PLI winner, 5 GWh live), Waaree, Adani, plus imported CATL/BYD/EVE cells. Exide-SVOLT is one of several China-tech-licensed plays racing to localise.

10. Lithium-ion Deep Dive

EESL is a 100% subsidiary building a Rs 60bn, 12 GWh (2x6 GWh phases) greenfield plant in Bengaluru on an 80-acre site, using SVOLT's licensed technology. Phase-1 = 6 GWh over four lines: 3 GWh cylindrical (NMC, for 2W) + 3 GWh prismatic (LFP, for 4W/buses/telecom/BESS). Targets: 90% yield, 85%+ utilization. **Cumulative equity investment Rs 4,802.23cr** (Rs 600cr in Q4FY26, Rs 1,500cr in FY26); ~Rs 1,400cr planned for FY27 (capex + working capital). Erstwhile Exide Energy Private Ltd (the former Exide Leclanche JV) merged into EESL in FY24; EESL reported FY25 turnover ~Rs 117cr and a net loss ~Rs 209cr (typical ramp-up).

Progress: 95%+ utilities complete across all four lines; all equipment on-site; ~45 supplier MPAs signed; 450+ shopfloor associates. **Cylindrical customer samples in Q1FY27; prismatic trials shortly after; meaningful revenue from Q3FY27;** serial production ~4-5

months after homologation. The Hyundai-Kia MoU is a separate incremental co-investment over the base 6 GWh. Brokers model a revenue ramp toward Rs ~14.9bn (FY27E) to Rs ~44.4bn (FY30E), with margins moving from ~-15% (FY27E) toward ~5.5% (FY30E). **Key risks:** execution/yield, customer validation delays, imported-cell price competition, China tech-transfer/visa dependence, and RoCE dilution.

11. Financials

Consolidated historicals (Rs cr) — source: company/Screener:

FY	Revenue	EBITDA	OPM%	PAT	EPS (Rs)	RoCE%
FY19	14,721	1,562	11%	847	9.95	21%
FY20	14,471	1,457	10%	762	9.14	17%
FY21	10,359	1,366	13%	803	9.53	14%
FY22	12,789	1,402	11%	4,357*	51.38*	11%
FY23	15,078	1,593	11%	823	9.68	10%
FY24	16,770	1,823	11%	883	10.31	10%
FY25	17,238	1,805	10%	800	9.35	9%
FY26	17,995	1,870	10%	860	10.05	~9%

*FY22 PAT/EPS inflated by the ~Rs 3,700cr exceptional gain from the Exide Life/HDFC Life divestment.

Standalone FY26 (company/Avendus): revenue Rs 17,268.92cr / Rs 172,689mn (+4.1%), EBITDA Rs 1,893cr (margin 11.3%), PAT Rs 1,111.33cr, EPS Rs 13.07. **Estimates (Avendus):** FY27E/FY28E revenue Rs 188,143mn / Rs 203,493mn; EBITDA margin 10.9% both years.

Balance sheet / cash: essentially zero-debt at the operating level (borrowings mainly for EESL). FY26 standalone CFO Rs 2,231cr; consolidated CFO Rs 2,413cr; consolidated FCF ~Rs 1,293cr (turned positive as capex intensity peaked, after negative FCF in FY22-25 during the recycling + Li-ion build). Working capital: inventory ~120 days, debtor ~32 days, payables ~110 days, cash-conversion ~42 days. [screener](#) **Dividend:** FY26 final Rs 2.00/share (200% of Re 1 face value); payout ~20%.

Quarterly (consol PAT, Rs cr): Q4FY24 186 / Q1FY25 221 / Q2 233 / Q3 158 / Q4 188 / Q1FY26 275 / Q2 174 / Q3 195 / Q4FY26 217. [screener](#) (Q4FY26 EBITDA margin 11.7%, +50bps YoY.)

HDFC Life stake: Exide received 8,70,22,222 shares (~4.1%) in the 2022 Exide Life sale (Rs 6,687cr deal: Rs 726cr cash + shares at Rs 685). Now worth ~Rs 63bn; brokers ascribe Rs 43-52/share of SOTP value. Any monetisation would attract capital-gains tax.

12. Valuation & Street View

Consensus is Neutral-to-mildly-positive, TPs clustering Rs 327-404. Avendus Spark: ADD, TP Rs 365 (CMP Rs 352). Motilal Oswal: Neutral, TP Rs 327-341 (core lead-acid at 15x FY28E EPS, in line with Amara; +Rs 59/sh EV business at book; +Rs 50-52/sh HDFC Life). Nomura: Neutral, TP raised to Rs 404. StockAnalysis cites a 16-analyst avg ~Rs 384, "Hold."

SOTP is the standard method: lead-acid core (~15x EPS) + Li-ion option value (at book, since pre-revenue) + HDFC Life stake. Historical valuation ~18.6x 12-month-forward P/E average since 2006. **Bull case:** core compounding + Li-ion scaling profitably + HDFC Life re-rating + GST tailwind. **Bear case:** Li-ion cash-burn with sub-cost-of-capital returns, telecom/export structural decline, and a permanent margin discount to Amara Raja.

13. Key Risks & Structural Debates

- **EV transition to lead-acid:** net positive-to-neutral for the SLI franchise — every EV still needs a 12V auxiliary battery (mostly AGM lead-acid) [Battery Council International](#) for electronics/contactors; the EV segment's auxiliary-battery demand grows ~3.5% CAGR. The risk is telecom/large-format, not auto SLI.
- **Telecom structural decline:** already down to ~1-3% of revenue; likely bottomed, pivoting to Li-ion packs.
- **Lead & antimony volatility:** main quarterly margin risk; mitigated by pass-through and recycling.
- **Li-ion execution & RoCE dilution:** the central debate — Rs 60bn capex ahead of revenue has depressed RoCE from ~13.6% (FY15) to ~7.9-8.8% (FY26).
- **Imported-cell competition:** CATL/BYD/EVE landed cost vs local; China VAT changes (+3% now, +6% by Jan-27) help Exide.
- **GST 2.0:** from 22 Sep 2025 all batteries under HSN 8507 taxed uniformly at 18% (down from 28% for lead-acid); small cars/2W (≤ 350 cc) cut 28%→18% — a clear demand tailwind for both replacement and OEM.
- **Battery Waste Management Rules 2022 / EPR:** adds compliance cost, but mandatory recycled-content targets (5% FY28 → 20% FY31) and material-recovery targets (60% auto/industrial, 90% EV/portable by FY27) structurally favour vertically-integrated Exide; non-compliance carries environmental compensation under the Polluter Pays Principle.

Recommendations

1. **Base case — hold/accumulate on weakness.** Treat Exide as a zero-debt cash compounder with embedded options, not a growth stock. Accumulate on dips toward/below ~Rs 350 (near the HDFCsec-cited Rs 358-365 buy band), where you pay little for Li-ion optionality. The near-term catalyst is 4QFY26/1QFY27 margin recovery as the ~8% cumulative price hikes flow through against easing antimony/sulfur.
2. **Track these benchmarks to change the view — upgrade triggers:** (a) EESL cylindrical samples converting to firm 2W/Hyundai-Kia offtake with disclosed volumes; (b) Li-ion gross margin turning positive ahead of the FY30E ~5.5% path; (c) core EBITDA margin sustaining >11.5%; (d) exports recovering toward ~8% of sales. **Downgrade triggers:** (e) EESL yield/utilization missing 90%/85% at ramp; (f) RoCE falling below ~7%; (g) another antimony/sulfur spike without matching price hikes; (h) aftermarket share loss to Amara Raja.
3. **Monetisation optionality:** watch for any HDFC Life stake sale — it would crystallise ~Rs 63bn (funding Li-ion without dilution) but trigger tax; a partial sale to fund Phase-2 would be a modest positive.
4. **Pairs/relative:** for pure lead-acid margin quality, Amara Raja screens better; own Exide specifically for the Li-ion + HDFC Life + recycling-integration combination.

Caveats

- **Segment splits are triangulated, not audited.** Exide reports one segment under IND-AS 108; automotive/industrial and OEM-vs-aftermarket percentages come from investor decks and press and vary by source.
- **Estimates vs actuals:** FY27E-FY30E revenue/margin/Li-ion figures are broker projections (Avendus, Motilal Oswal, Nomura, etc.), explicitly flagged; treat the Li-ion ramp and margin path as speculative.
- **Some figures conflict across feeds** (e.g., consolidated FY26 revenue cited as Rs 174.0bn by Avendus vs Rs ~180.0bn by data aggregators; 4QFY26 gross-margin decline cited as ~90bps by the company release vs ~150bps in the Avendus note; combined recycling capacity is not company-disclosed). Ranges are flagged where they occur.
- **Customer-wise and OEM wallet-share data are not disclosed;** named customers are confirmed relationships, not quantified revenue, and the accounts flag no single customer >10%.
- **Metal prices** (lead, antimony) move daily; levels cited are as of the FY26 results / mid-2026, and some 2026 figures are forecasts, not actuals.

- **This is a research primer, not investment advice.**